

Reskilling and Upskilling

Training for a different role, and deepening capability within the current one

GLOSSARY 04 - SHEET 6 / 8

PROFESSIONAL DEFINITION

Upskilling is the development of additional capability within a person's existing role so that the role can be performed to a changed standard. Reskilling is the development of the capability required for a materially different role, undertaken because the original role has been substantially altered or eliminated. The distinction matters because the two have different costs, durations, success rates and organisational obligations (World Economic Forum, 2023; Illanes et al., 2018).

WHO DEFINED IT ORIGINALLY

The two-term distinction was consolidated in policy and management use by the World Economic Forum's Future of Jobs report series from 2016 onward, and in management practice by Pablo Illanes, Susan Lund, Mona Mourshed, Scott Rutherford and Magnus Tyreman of McKinsey & Company (2018). The economic foundation is Becker's (1964) distinction between general and firm-specific human capital.

WHY THIS DEFINITION WAS DEVELOPED

Firms facing automation described a single training requirement and budgeted for it at upskilling cost while the actual need was reskilling, which is substantially more expensive, takes longer and fails more often. Separating the terms allowed workforce plans to be costed against the transition actually required.

FIGURE 1 - TWO DIFFERENT TRANSITIONS

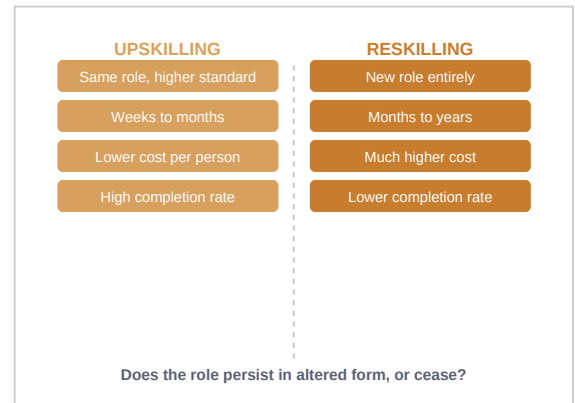


Figure 1. The two transitions are routinely budgeted at the same unit cost. Where a role ceases rather than changes, an upskilling budget funds a reskilling requirement and the shortfall appears as attrition rather than as a training variance (after Illanes et al., 2018).

HOW IT IS USED

Determine for each affected role whether the role persists in altered form or ceases; upskill in the first case, reskill in the second, and cost and time each separately rather than as a single training line.

WHEN IT IS USED

During AI workforce planning, before rather than after automation is deployed, at annual capability review, and when a role's task composition changes by more than a modest fraction.

BY WHOM IT IS USED

Chief human resources officers, workforce planning teams, line managers assessing role composition, works councils and employee representatives, and the individuals whose roles are changing.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor category was training, an undifferentiated budget line whose unit cost was assumed constant across purposes. Distinguishing the two makes the workforce plan a portfolio with different transition costs per person, and connects to Becker's insight about who pays: firm-specific capability is rationally funded by the employer, general capability is not, which explains the persistent under-investment in reskilling precisely where it is most needed.

RELATED DEFINITIONS IN THIS COURSE

AI Literacy - Unit 2

Change Management - Unit 4

Labour Market Displacement - Unit 5

Skill-Biased Technological Change - Unit 5

AI Adoption - Unit 4

SOURCES (HARVARD REFERENCING STYLE)

Becker, G.S. (1964) Human Capital: A Theoretical and Empirical Analysis. New York: Columbia University Press.

Illanes, P., Lund, S., Mourshed, M., Rutherford, S. and Tyreman, M. (2018) Retraining and Reskilling Workers in the Age of Automation. New York: McKinsey Global Institute.

World Economic Forum (2023) Future of Jobs Report 2023. Geneva: World Economic Forum.